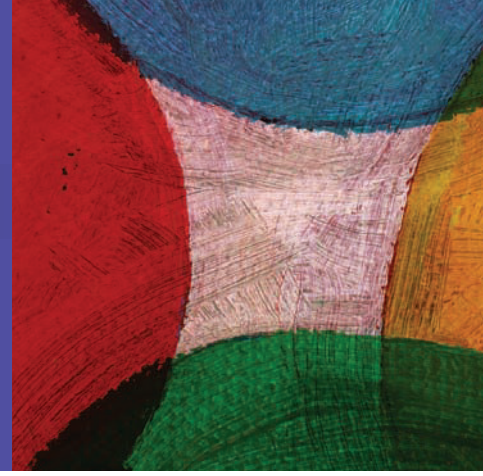


CHAPTER 3

Planning and Strategic Management



Learning Outcomes

After studying this chapter, you should be able to:

- 3-1** Summarize the planning process and organizational goals.
- 3-2** Discuss the components of strategy and the types of strategic alternatives.
- 3-3** Describe how to use SWOT analysis in formulating strategy.
- 3-4** Discuss various alternative approaches to business-level strategy formulation.
- 3-5** Describe various alternative approaches to corporate-level strategy formulation.
- 3-6** Discuss how tactical plans are developed and implemented.
- 3-7** Describe the basic types of operational plans used by organizations.

This chapter discusses how organizations manage planning and strategy and how managers engage in strategic planning. As we noted in Chapter 1, planning and decision making comprise the first managerial functions that organizations must address. This chapter is the first of three that explore planning and decision making.

Management in Action

The Lap of Luxury

“Money is just a consequence. I always say to my team, don’t worry too much about profitability. If you do your job well, the profitability will come.”

—Bernard Arnault, Chairman and CEO of LVMH

When people think about luxury products, they often come up with names like Givenchy, Fendi, Christian Dior, Dom Perignon, and Louis Vuitton. But what many people don’t realize is that all of these brands—plus dozens of other luxury brands—are all owned by the same French company, LVMH.

Although some LVMH brands are literally centuries old (the oldest, wine producer Chateau d’Yquem, dates back to 1593), the origin of LVMH per se started in 1971 when champagne producer Moët & Chandon merged with Hennessy, a prestigious cognac maker, and branded itself as Moët Hennessey. A few years later, in 1987, this firm merged with luxury luggage company Louis Vuitton to become (officially) LVMH Moët Hennessey-Louis Vuitton SE, or LVMH for short.



LVMH has thrived by using related diversification. Its portfolio of high-end luxury products all appeal to similar kinds of consumers and are generally marketed and managed in similar ways. These LVMH stores, for instance, are all in a Singapore shopping complex. This makes it easier for shoppers to move from store-to-store.

Enter Bernard Arnault. Arnault is CEO and the majority shareholder of fashion icon Christian Dior. Arnault had acquired Dior in 1984 and slowly but surely built it into a global powerhouse. As his wealth and the firm's resources grew, so too did his vision and aspirations. Specifically, he began to see that there could be significant economies of scale if he could gain control of other luxury goods companies. His first acquisition, he decided, would be LVMH and he initiated efforts to gain control of that company in 1988. At first, LVMH tried to avoid being taken over through various financial maneuvers but Arnault eventually succeeded in the summer of 1989.

Arnault structured his new firm as a holding company. Specifically,

his original firm, Christian Dior SE, owns around 41 percent of the shares of LVMH but controls 59 percent of its voting rights. Apart from LVMH, Christian Dior itself continues to function as an autonomous business but under the same corporate ownership umbrella. Publicly, though, the firm continues to use the LVMH "brand" name. And because this model worked well from the beginning Arnault decided that future brand acquisitions would also continue to function as separate businesses but also be organized by product or customer group.

Over the next several years the company began to expand by buying one luxury brand after another. Among the more significant acquisitions have been Celine (1988), Guerlain (1994), Marc Jacobs and Sephora (1997), Emilio Pucci (2000), Fendi and DKNY (2001), and Bulgari (2011). LVMH's latest major acquisition was Tiffany & Co. in 2019. Also, in 2019 LVMH launched an all-new fashion house, Fenty, in partnership with singer Rihanna.

To help manage its portfolio of businesses, LVMH has structured itself into six distinct divisions:

- The Wines and Spirits division, with 22 distinct brands
- The Fashion and Leather Goods division, with 18 brands
- The Perfumes and Cosmetics division, with 14 brands
- The Watches and Jewelry division, with seven brands
- The Selective Retailing division, with five brands
- An unnamed "miscellaneous" division that includes two small hotel brands, a bicycle manufacturer, a small chain of upscale coffee houses, and three luxury yacht leasing companies

While the roots of LVMH are firmly planted in Europe, the firm has enjoyed considerable success with international expansion. Ten percent of its revenues are generated in France and another 19 percent from other European countries. The United States generates 25 percent of the firm's revenues and Japan another 7 percent. Most recent growth, though, has come from other Asian countries, most notably China. LVMH has also successfully entered the world of online retailing

without noticeably harming its reputation for luxury products and impeccable service. Indeed, it looks as though LVMH can do little wrong as it continues its strategic efforts to control the world's leading luxury brands and businesses.¹

3-1 PLANNING AND ORGANIZATIONAL GOALS

“No plan survives first contact with the enemy”—historians are not sure who said this first—Dwight Eisenhower, Napoleon, Patton, or (most likely) a nineteenth-century Prussian field marshal named Helmuth Von Moltke. The sentiment, however, is undeniable. No matter how effectively leaders make decisions, plan, and strategize, it is impossible to predict with certainty exactly how well those decisions, plans, and strategies will work once they are set in motion. Unexpected responses by other businesses, faulty assumptions, human error, or simple luck can all cause business plans to fail or to succeed far better than expected. Nevertheless, when leaders do work to make good decisions and develop effective plans and strategies, like those at LVMH, they substantially increase their chances of success. Similarly, though, if leaders make bad decisions, develop ineffective strategies, and execute plans poorly when things do go wrong, they will likely make matters far worse.

All organizations engage in planning activities, but no two organizations plan in exactly the same fashion. Figure 3.1 is a general representation of the planning process that many organizations attempt to follow. But although most firms follow this general framework, each also has its own nuances and variations.²

As Figure 3.1 shows, all planning occurs within an environmental context. If managers do not understand this context, they are unable to develop effective plans. Thus, understanding the environment is essentially the first step in planning. Chapter 2 covered many of the basic environmental issues that affect organizations and how they plan. With this understanding as



FIGURE 3.1

The Planning Process

The planning process takes place within an environmental context. Managers must develop a complete and thorough understanding of this context to determine the organization's mission and to develop its strategic, tactical, and operational goals and plans.

a foundation, managers must then establish the organization's mission. The mission outlines the organization's purpose, premises, values, and directions. Flowing from the mission are parallel streams of goals and plans. Directly following the mission are strategic goals. These goals and the mission help determine strategic plans. Strategic goals and plans are primary inputs for developing tactical goals. Tactical goals and the original strategic plans help shape tactical plans. Tactical plans, in turn, combine with the tactical goals to shape operational goals. These goals and the appropriate tactical plans determine operational plans. Finally, goals and plans at each level can also be used as inputs for future activities at all levels.

3-1a Organizational Goals

Goals are critical to organizational effectiveness, and they serve a number of purposes. Organizations can also have several different kinds of goals, all of which must be appropriately managed. And a number of different kinds of managers must be involved in setting goals.

“Policy making could go on and on endlessly, and there are always resources to be allocated. ‘Decision’ implies the end of deliberation and the beginning of action.”

—William Starbuck, Leading Management Theorist⁴

General Motors has announced a goal that by 2030 50 percent of the materials in their vehicles will be sustainable. One of GM's newer domestic competitors, Tesla, has a goal of delivering 400,000 vehicles per year by 2025 and doubling the storage capacity of its batteries by an unspecified date. And when Disney launched its online streaming service Disney+ in 2019, the firm announced a goal of having “at least” 60 million global subscribers by the year 2025.³

Purposes of Goals Goals serve four important purposes. First, they provide guidance and a unified direction for people in the organization. Goals can help everyone understand where the organization is going and why getting there is important.⁵ General Motors' goal communicates the firm's commitment to sustainability, and Disney's goal demonstrates its emphasis on streaming services as a future growth opportunity.

Second, goal-setting practices strongly affect other aspects of planning. Effective goal setting promotes good planning, and good planning facilitates future goal setting. For example, one competitive advantage that Disney has for its streaming service is a large library of content—Disney, Pixar, Marvel, Lucas Films, and Fox movies and television programs. At the same time, though, the firm doesn't want to release all of this content at one time. For example, going forward, when Disney releases its next major blockbuster movie, it will first target traditional theatergoers. Then, at a later date, it will release that movie in other formats such as DVD and streaming. The timing of these decisions is important—the second wave of releases can't come too quickly because it would reduce traditional theater box-office revenue, but it also cannot come too late or the film's “momentum” may have slowed.

Third, goals can serve as a source of motivation for an organization's employees. Goals that are specific and moderately difficult can motivate people to work harder, especially if attaining the goal is likely to result in rewards.⁶ Italian furniture manufacturer Industrie Natuzzi SpA uses goals to motivate its workers. Each craftsperson has a goal for how long it should take to perform his or her job, such as sewing leather sheets together to make a sofa cushion or building wooden frames for chair arms. At the completion of assigned tasks, workers enter their ID numbers and job numbers into the firm's computer system. If they get a job done faster than their goal, a bonus is automatically added to their paycheck.⁷ Firms that take a strong—and public—position on sustainability may help motivate employees who are concerned with environmental issues to be more motivated and to feel more engagement with the firm.

Finally, goals provide an effective mechanism for evaluation and control. This means that performance can be assessed in the future in terms of how successfully today's goals are accomplished. For example, Disney attracted more Disney+ subscribers in its first six months of availability than was expected. As a result, it raised its subscriber goal from 60 million to between 60 and 90 million. On the other hand, firms also may need to revise their goals downward. It's common, for instance, for publicly traded businesses to provide investors and financial analysts with goals for revenues and profits on a yearly basis. Due to the economic turmoil created by the COVID-19 virus in 2020, though, most businesses realized that they were not going to meet their goals and so revised them to lower levels. Others announced that

they were abandoning their short-term goals due to so much uncertainty. Target, for instance, experienced extreme volatility due to a spike in sales on some products (such as toilet paper and cleaning products) but a drop in sales of apparel and other staples.⁸

mission

A statement of an organization's fundamental purpose

strategic goals

A goal set by and for an organization's top management

tactical goals

A goal set by and for an organization's middle managers

operational goals

A goal set by and for an organization's lower-level managers

Kinds of Goals Goals are set for and by different levels within an organization. An organization's **mission** is a statement of its “fundamental, unique purpose that sets a business apart from other firms of its type and identifies the scope of the business's operations in product and market terms.”⁹ For instance, Starbucks' mission statement is to be “the premier purveyor of the finest coffee in the world while maintaining our uncompromising principles while we grow.” The principles referred to in the mission help managers at Starbucks make decisions and direct resources in clear and specific ways.

Strategic goals are set by and for an organization's top management. They focus on broad, general issues. For example, Starbucks has a strategic goal of increasing the profitability of each of its coffee stores by 20 percent over the next five years. **Tactical goals** are set by and for middle managers. Their focus is on how to operationalize actions necessary to achieve the strategic goals. To achieve Starbucks' goal of increasing its per-store profitability, managers are working on tactical goals related to company-owned versus licensed stores and the global distribution of stores in different countries. **Operational goals** are set by and for lower-level managers. Their concern is with shorter-term issues associated with the tactical goals. An operational goal for Starbucks might be to boost the profitability of a certain number of stores in each of the next five years. (Some managers use the words *objective* and *goal* interchangeably. When they are differentiated, however, the term *objective* is usually used instead of *operational goal*.)

“If you're bored with life—you don't get up every morning with a burning desire to do things—you don't have enough goals.”

—Lou Holtz, Former Football Coach¹⁰

3-1b Kinds of Organizational Plans

Organizations establish many different kinds of plans. At a general level, these include strategic, tactical, and operational plans.

strategic plan

A general plan outlining decisions about the resource allocation, priorities, and action steps necessary to reach strategic goals

Strategic Plan Strategic plans are developed to achieve strategic goals. More precisely, a **strategic plan** is a general plan outlining decisions about resource allocation, priorities, and action steps necessary to reach strategic goals. These plans are set by the board of directors and top management, generally have an extended time horizon, and address questions of scope, resource deployment, competitive advantage, and synergy. We discuss strategic planning further in the next major section of this chapter.

Tactical Plans A tactical plan, aimed at achieving tactical goals, is developed to implement specific parts of a strategic plan. Tactical plans typically involve upper and middle management and, compared with strategic plans, have a somewhat shorter time horizon and a more specific and concrete focus. Thus, tactical plans are concerned more with actually getting things done than with deciding what to do. Tactical planning is covered in detail later in this chapter.

operational plan

A plan that focuses on carrying out tactical plans to achieve operational goals

Operational Plans An **operational plan** focuses on carrying out tactical plans to achieve operational goals. Developed by middle- and lower-level managers, operational plans have a short-term focus and are relatively narrow in scope. Each one deals with a fairly small set of activities. We also cover operational planning in more detail later in this chapter.



Manager's Checklist

- ☐ Remember that goals and goal setting are a major part of a manager's job.
- ☐ It's also important to remember that goals are targets, not necessarily absolute objectives that must be attained.
- ☐ Managers need to also keep in mind that they will often need to optimize among and across multiple goals.
- ☐ Be aware of the different kinds of plans that exist for your organization.

strategy

A comprehensive plan for accomplishing an organization's goals

strategic management

A comprehensive and ongoing management process aimed at formulating and implementing effective strategies; a way of approaching business opportunities and challenges

effective strategies

A strategy that promotes a superior alignment between the organization and its environment and the achievement of strategic goals

distinctive competence

An organizational strength possessed by only a small number of competing firms

scope

When applied to strategy, it specifies the range of markets in which an organization will compete

resource deployment

How an organization distributes its resources across the areas in which it competes

“Strategy is a pattern in a stream of decisions.”

—Henry Mintzberg, Leading Management Scholar¹⁴

business-level strategy

The set of strategic alternatives from which an organization chooses as it conducts business in a particular industry or market

3-2 THE NATURE OF STRATEGIC MANAGEMENT

A **strategy** is a comprehensive plan for accomplishing an organization's goals. **Strategic management**, in turn, is a way of approaching business opportunities and challenges—it is a comprehensive and ongoing management process aimed at formulating and implementing effective strategies. Finally, **effective strategies** are those that promote a superior alignment between the organization and its environment and the achievement of strategic goals.¹¹

“People in any organization are always attached to the obsolete—the things that should have worked but did not, the things that once were productive and no longer are.”

—Peter Drucker, Management Pioneer and Consultant¹²

3-2a The Components of Strategy

In general, a well-conceived strategy addresses three areas: distinctive competence, scope, and resource deployment. A **distinctive competence** is something the organization does exceptionally well. (We discuss distinctive competencies more fully later.) A distinctive competence of Zara is its ability to manage its supply chain more effectively than most of its competitors. It tracks consumer preferences daily with real-time point-of-sale data, digitally transmitting orders to suppliers in Hong Kong and other manufacturing centers, and can have products in stores in a day or two. Because most other retailers generally need weeks to accomplish the same things, Zara has used this distinctive competence to grow. One of Zara's competitors, Abercrombie & Fitch, is pursuing a similar strategy. It recently implemented what it calls Management Dynamics' Supply Chain Visibility to streamline its supply chain process and provide real-time visibility. The system provides one detailed view of shipments to track, display any in-transit delays, and respond to potential crises across A&F's 34 trading partners and international business units. A&F has found that the new system further decreases cycle time and increases availability through improvements in stores' inventory allocations.¹³

The **scope** of a strategy specifies the range of markets in which an organization will compete. Hershey Foods has essentially restricted its scope to the confectionery business, with a few related activities in other food-processing areas. In contrast, its biggest competitor, Mars, has adopted a broader scope by competing in the pet food business and the electronics industry, among others. Some organizations, called *conglomerates*, compete in dozens or even hundreds of markets.

A strategy should also include an outline of the organization's projected **resource deployment**—how it will distribute its resources across the areas in which it competes. For years, GE, for example, used profits from its highly successful U.S. operations to invest heavily in new businesses in Europe and Asia. Alternatively, the firm might have chosen to invest in different industries in its domestic market or to invest more heavily in Latin America. The choices it makes as to where and how much to invest reflect decisions about resource deployment. Disney used profits from its existing theme parks and movie businesses to generate the funds needed to buy Marvel Comics and Lucas Films. And then, profits from those businesses were used to buy Fox and launch Disney+. Alternatively, Disney could have instead chosen to build new theme parks in places like South America and Australia.

3-2b Types of Strategic Alternatives

Most businesses today develop strategies at two distinct levels: the business level and corporate level. These levels provide a rich combination of strategic alternatives for organizations. **Business-level strategy** is the set of strategic alternatives from which an organization chooses as it conducts business in a particular industry or market. Such alternatives help the organization focus its competitive efforts for each industry or market in a targeted and focused manner.



Abercrombie and Fitch's Management Dynamics' Supply Chain Visibility makes it possible to manage their 34 trading partners and international business units, including off-shore factories like this one.

corporate-level strategy

The set of strategic alternatives from which an organization chooses as it manages its operations simultaneously across several industries and several markets

Corporate-level strategy is the set of strategic alternatives from which an organization chooses as it manages its operations simultaneously across several industries and several markets. As we discuss later in this chapter, most large companies today compete in various industries and markets. Thus, although they develop business-level strategies for each industry or market, they also develop an overall strategy that helps define the mix of industries and markets that are of interest to the firm.



Resource deployment is an essential element of strategic planning. Microsoft, for example, has used profits from its U.S. operations to invest in new business opportunities in Europe and Asia.

strategy formulation

The set of processes involved in creating or determining an organization's strategies; it focuses on the content of strategies

Drawing a distinction between strategy formulation and strategy implementation is also instructive. **Strategy formulation** is the set of processes involved in creating or determining the organization's strategies, whereas **strategy implementation** is the methods by which those strategies are operationalized or executed. The primary distinction is along the lines of content versus process: The formulation stage determines what the strategy is, and the implementation stage focuses on how the strategy is achieved.

"However beautiful the strategy, you should occasionally look at the results."

—Sir Winston Churchill¹⁵



Manager's Checklist

- ☐ Managers need to understand the differences between corporate and business strategies.
- ☐ Managers need to also remember the distinctions between strategy formulation and strategy implementation. Strategy formulation is the set of processes involved in creating or determining the strategies of the organization, whereas strategy implementation is the methods by which strategies are operationalized or executed within the organization.

strategy implementation

The methods by which strategies are operationalized or executed within the organization; it focuses on the processes through which strategies are achieved

SWOT

An acronym that stands for strengths, weaknesses, opportunities, and threats

organizational strengths

A skill or capability that enables an organization to create and implement its strategies

3-3 USING SWOT ANALYSIS TO FORMULATE STRATEGY

The starting point in formulating strategy is usually **SWOT** (strengths, weaknesses, opportunities, and threats) analysis. As shown in Figure 3.2, SWOT analysis is a careful evaluation of an organization's internal strengths and weaknesses as well as its environmental opportunities and threats. In SWOT analysis, the best strategies accomplish an organization's mission by (1) exploiting an organization's opportunities and strengths while (2) neutralizing its threats and (3) avoiding (or correcting) its weaknesses.

3-3a Evaluating an Organization's Strengths

Organizational strengths are skills and capabilities that enable an organization to create and implement its strategies. Strengths may include things like a deep pool of managerial talent, surplus capital, a unique reputation and/or brand name, and well-established distribution channels.¹⁶ Amazon, for example, has been successful in part due to its strengths in supply chain management. The firm started out by selling books with an online store front. Once the fledgling business achieved high levels of efficiency, its founder and CEO, Jeff Bezos, realized that the same supply chain methods used to sell and distribute books could also be used to sell and distribute other products as well. Different strategies call on different skills and capabilities. For example, while Amazon has demonstrated strengths in distribution, this expertise does not guarantee success if the company decided to expand into insurance, swimming pool manufacturing, or fast food. Different strategies like these require different organizational strengths. SWOT analysis divides organizational strengths into two categories: common strengths and distinctive competencies.

A *distinctive competence*, introduced earlier in this chapter, is a strength possessed by only a small number of competing firms. Distinctive competencies are rare among a set of competitors. When George Lucas founded Industrial Light & Magic (ILM), for example, the new venture brought the cinematic art of special effects to new heights. Some of ILM's special effects can be produced by no other organization; these rare special effects are thus ILM's distinctive competencies. Indeed, ILM (now owned by Disney) had no real competitor until Peter Jackson formed Weta Digital Effects to help bring *Lord of the Rings* to the screen. But even so, although ILM and Weta have some of the same competences, each also has proprietary